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Introduction to Business Frameworks
Session - 2

11th September, 2026

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Agenda

1 Slikk - Assortment Strategy

2 Zostel - Winning vs OTAs while maintaining UE



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The crux of the case

How can Slikk balance scarce slots between safe basics and risky trends, testing fast enough to spot winners early?

Let’s start with answering this

What is Slikk’s identity and business model?

What is Slikk's identity and business model?

- It combines the **economics of a fashion retailer** with the **customer proposition of quick commerce**
  - Issues it inherits from fashion retail
    - Inventory risk
    - Size/color complexity
    - Trends
    - Markdown risk
    - Assortment decisions
    - Working capital
  - Issues it inherits from quick commerce
    - Dark-store capacity
    - Local inventory
    - High fulfillment expectations
    - Need for high utilization
    - Need for frequency
    - Speed-sensitive customers

What are the risks associated with more assortment and more trendy assortment?

We essentially need to answer 2 questions

1. How should Slikk think about distributing the 15000 SKUs across Basics, Trends and Experiments

2. How do you test in a cheap + statistically/operationally informative + quick manner?

What should the 15,000 styles contain I Balanced portfolio across Basics, Trending & Experiments

- **Basics - Bring the traffic → drive Core business**
  - **Examples:** Plain tees, Everyday denims, Staple tops, etc.
  - **Characteristics:**
    - High predictability
    - High velocity
    - Low differentiation
    - Low fashion risk
  - **Objective:** Utilization + revenue stability
- **Trending - Need to be more than "Myntra, but faster."**
  - **Examples**: Current silhouettes, Trending colors, Viral /Emerging D2C styles
  - **Characteristics**:
    - Higher uncertainty
    - Higher potential
    - Higher differentiation
  - **Objective**: Customer acquisition + discovery + margin upside
- **Experiments** - Buy customer information about new/unproven styles cheaply

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A to-be-launched style has 0 sales. What evidence can justify giving it a slot?”

- **External trend signals**
  - Google Trends, Search growth
  - Social media engagement, Instagram/TikTok velocity
  - Influencer adoption
  - Pinterest trends
- **Supplier/brand signals**
  - How quickly is the style selling elsewhere?
  - What is its sell-through & reorder rate?
  - How many customers are asking for it?
  - Is it new or incremental?
- **Slikk customer signals**
  - Conversion journey - Search volume, Product clicks, Wishlist/add-to-cart
  - Product-page engagement
  - Similar-style purchases
- **Historical analogues**
  - If the style resembles another style, which sold very well among similar customer cohort

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Going about testing & scaling products

Small initial bet → rapid information → rapid replenishment → scale

Micro-testing

- Launch a limited number of styles, with limited depth, representative size curve, and limited number of stores

Observations

- CTRs
- Time to first sale
- Sales velocity
- Size-level demand
- Stockout rate

Replenishment

- Rapid
- Increase store coverage via tiered-rollout
- Style x Size x Color x Location decisioning

Scale

- Promote high performing styles into more stores
- Pushing via storefront to drive differentiation vs Myntra

Complete scaling decision also takes into account UE & replenishment speed & capacity

Demand signal → Purchase signal → Repeatability → Positive Unit Economics → Scalability

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In-class Activity

Create an e2e metric dashboard for a newly introduced product on Slikk

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In-class Activity I Create an e2e metric dashboard for a newly introduced product on Slikk

Dimension	Example metric
Demand	Conversion funnel
Velocity	Units sold/day
Availability	In-stock %
Economics	Contribution/order
Inventory	Sell-through (assuming good availability)
Trend	Search growth
Customer	Repeat rate
Strategic	Incremental customers

In case the experiment fails I What happens if a experiment SKU doesn't sell?

1. **Markdown** - Lower price.
2. **Promotion** - Bundle with other products.
3. **Cross-store transfer** - Move inventory to locations with stronger demand.
4. **Return to supplier** - If contractual terms allow.
5. **Marketplace liquidation** - Sell through another channel.
6. **Off-price channel** - Clear inventory.

Cutting losses and replacing the shelf with the next Experiment/Trend critical to unlock inventory space and working capital

Zostel (Z) and Xostel (X)

Quick recap - How are they different from each other?

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Zostel vs Xostel - same same but different

Zostel India	Xostel
Owns/operates or franchises the experience	Curates third-party properties
Destination + Zostel are closely associated	Traveller first chooses destination
Supply creates brand presence	Supply already exists elsewhere
Organic demand	Must create outbound demand
Room/bed economics	Distribution commission
Zostel controls experience	Partner controls experience
Little/no paid marketing historically	May require deliberate demand generation
Brand itself can be the destination choice	Brand is currently not top-of-mind for Europe

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X - what is the single question to be answered?

How should Xostel acquire and convert outbound Indian travelers without outspending low per-booking commissions?

We need to answer the following questions

1. Where should X enter? Inspiration → destination → itinerary → logistics → accommodation → booking

2. Unit Economics - Which acquisition channels survive this constraint? How can you create demand from your own existing assets?

3. How can we ensure that X does not end up becoming an OTA? What is the desired positioning and how can we land it?

In-class Discussion

Where should X enter & why?

Inspiration → destination → itinerary → logistics → accommodation → booking

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X should compete in the travel inspiration & planning layer

Inspiration → destination → itinerary → logistics → accommodation → booking

1. **OTAs will win at Booking step alone -** huge cost advantages, much larger supply & trust in the market
2. The stronger strategic opportunity is earlier -
    a. Help travellers with a good e2e experience
    b. Capitalize on foreign experience demand trends
    c. Building Curation + Vibe Score + Reviews + Standards
3. These stages are a lot more defensible vs Booking

Tapping into Z's historically-owned traveller community and backpacker identity rather than merely selling beds.

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X should build on Z's trust and brand - has multiple tailwinds in this regard

Why would an Indian traveller trust X?

- Zostel brand
- Existing traveller community
- Reviews
- Vibe score
- Curated selection
- Consistent standards
- Safestay partnership
- Indian traveller relevance
- Z's understanding of backpackers

For optimal trust-transfer, **X's Curation + Vibe Score + Reviews + Standards must be strong enough**

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Variety of marketing channels at our disposal, including owned assets

- Owned
  - Physical - properties, staff inyteractions
  - Digital - Web, App, Socials, Database, etc.
  - Brand - Z identity, backpacker brand, trust & cred
  - Community - Existing base, social media
- Earned
- Partnerships
- Paid

Which of these channels is structurally compatible with a 10–15% commission business?

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In-class Discussion

How do we analyze the CAC of each channel? When does a value of CAC make business sense?

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Monitoring LTV/CAC to ensure we don't build a biz whose economics require buying every cx

Every channel should be measured on the below aspects, with the objective of influencing the customer BEFORE hostel selection

- Reach
- Conversion
  - Relevance
  - Trust
- CAC
- Scalability

For the example shared, before getting into paid marketing, X needs to either:

- lower CAC,
- increase booking value,
- increase repeat/LTV,
- generate additional monetisation,
- improve conversion substantially,

Monitoring LTV/CAC to ensure we don't build a biz whose economics require buying every cx

Competing with OTAs

Customer comes with:

"I need a room."

Platform, including X, provides:

"Here are 200 options."

Adding value of your own

Customer comes with:

"I want a backpacking experience."

Xostel alone provides:

"Here is the curated experience and the hostel we believe fits you."

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Final recommendation

X should build a content/community-led outbound travel funnel that captures Indian travellers during trip planning, rather than primarily competing for accommodation-search traffic at the bottom of the funnel.

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Closing - major concept takeaways from today

Recap

Slikk as a mix of fashion retailer and quick commerce

Portfolio framework - balancing the core with differentiators and moonshots

Testing and scaling - cheaply, quickly, and with confidence

Where to compete in the value chain? Playing on your strengths


Q&A